



The E-Myth Revisited

Why Most Small businesses Don't Work
and What to Do About It

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The Big "So What"



In the United States, 80% of businesses fail within the first 5 years, and 80% of the survivors fail in the next 5 years. This book explains why small businesses fail, how to overcome common mistakes in business, so you can build a successful business that not only works, but is also deeply rewarding for you and your stakeholders.

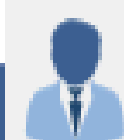
Introduction



This book was released 15 years after the original E-Myth book was published. It captured the new insights and experiences that Gerber had accumulated while working with businesses to apply the E-Myth concepts, and also addressed common questions about these ideas.

Gerber found that the most outstanding businesspeople had lofty goals, yet were constantly learning, pragmatic, detail-oriented and down-to-earth. The key idea of the book is this – your business is really an extension of who you are, and transforming your business starts with transforming yourself. This summary presents the key ideas of the book in 3 key segments to introduce the E-Myth, the Turn-Key Revolution, and how to build a successful small business.

1. The Entrepreneurial Myth (E-Myth)



It's a myth that small businesses are started by true-blue entrepreneurs. The truth is, most business are started by people who were initially working for others (e.g. carpenters, designers). They are good at what they do, decide to go

KEY QUOTES

"This book... is about producing results - not simply 'how to do it'."

"The greatest business people I've met are determined to get it right no matter what the cost. And by getting it right...I mean that there is something uplifting, some vision, some higher end in sight that 'getting it right' would serve."

"Your business is nothing more than a distinct reflection of who you are...So if your business is to change...you must change first."

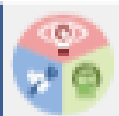
"People who are exceptionally good in business aren't so because of what they know but because of their insatiable need to know more."

"That Fatal Assumption is: if you understand the technical work of a business, you understand a business that does that technical work."

into business, and make the fatal assumption that their strong technical skills are enough for them to run a technical business.

They soon realize that running a business involves not just the technical skill that they excel in (and even love to do), but a host of things that they can't do or hate to do. They move from excitement to fear to fatigue and finally despair.

The Entrepreneur, The Manager, and The Technician



We all have multi-faceted personalities, with often-conflicting traits. A business owner is not just an entrepreneur, a manager or a technician. He is all 3 personalities rolled into one at the same time. Hence, he has to deal with their differing tendencies, needs and wants.



The Entrepreneur. This is the **visionary and creative side** of us. The Entrepreneur looks to the future, dreams of possibilities, focuses on opportunities and prods for innovations. He needs to shape the future, and constantly seeks change. The faster he moves, the more chaos he creates for those around him, and he feels frustrated with having to drag people along with him.



The Manager. This is the pragmatic, conservative part of us that seeks **order and security**, lives in the past and loves status quo. He cleans up the mess that The Entrepreneur creates and sees people as components of a system to be managed.



The Technician. This is the part of us that **gets things done**. He lives in the present, steadily working on one task at a time. He believes that lofty visions are useless without someone who can deliver it, and sees work as a part of who we are as unique individuals.

KEY QUOTES

"The problem is that everybody who goes into business is actually three-people-in-one: The Entrepreneur, The Manager, and The Technician...while each of these personalities wants to be the boss, none of them wants to have a boss."

"The Entrepreneur is the innovator, the grand strategist, the creator of new methods for penetrating or creating new markets, the world-bending giant."

"It is the tension between. The Entrepreneur's vision and The Manager's pragmatism that creates the synthesis from which all great works are born."



The truth is, we need all 3 personalities to succeed in business, and we also inherently have all 3 personalities in us. However, **the 3 roles are usually not in balance or in the wrong proportion.** The typical business owner is 70% Technician, 20% Manager and 10% Entrepreneur – this creates problems as the business grows and evolves.

Business Evolution and Growth



Businesses must grow and evolve, which means the business owner must be willing to change to meet the business needs.



Phase 1: Infancy. At this phase, the owner is typically the technician, doing the bulk (if not all) of the work. **The business and the owner are one and the same,** and the business would collapse without the owner. However, as the business grows, the owner finds himself being stretched to the max, standards drop, he no longer enjoys his work the same way, and the business moves into crisis. The owner realizes that he still has a job, only worse because the fanatic boss is himself. At this juncture, most Technicians walk away from the business; some move on to the next phase.

KEY QUOTES

"The Entrepreneur dreams, The Manager frets, and The Technician ruminates."

"Businesses, like people, are supposed to grow; and with growth, comes change... Most business are operated according to what the owner wants as opposed to what the business needs."

"The moment you choose to start a small business... you unwittingly chose to play a significantly larger game than any game you had ever played before."

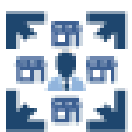
"If you want to work in a business, get a job in someone else's business! But don't go to work in your own."



Phase 2: Adolescence. Every business that grows inevitably reaches this phase – when the owner decides to get help and hires his first staff. The owner typically starts by hiring people to do the work that he doesn't know how to do, or hates to do, and hopes that things will work out. The problem is, such management is by abdication rather than delegation. Without sound management, direction and guidance, the technicians that are hired to do the work can't perform consistently. As the business grows, balls start to drop, but this time at a much bigger scale.

At this point, the owner may scale back the business and does everything himself again, or he could keep growing the business until things collapse or he implodes. Whichever the case, the business doesn't survive.

In short, regardless of your predominant personality, your business will inevitably outgrow you – it will outgrow the amount of work the Technician can do himself, the number of technicians the Manager can personally supervise, and the number of managers the Entrepreneur can personally engage. Unless the owner gets out of his comfort zone and approaches things differently, the business is doomed to fail.



Phase 3: Maturity. Companies that reach maturity (e.g. Federal Express, IBM, Disney) have a clear vision of how the company will be like when it is “done”, and they start behaving like that great company from the onset. The key is to start your business with the expectation that it will grow, and to have a plan (however rough or sketchy initially) for it to grow and work without you. This is the Entrepreneurial Perspective, which takes a top-down approach rather than a technical bottom-up approach.

Now, we'll take a look at a business model that will allow us to balance all 3 personalities, so the Entrepreneur can drive the business, the Manager can ensure it's sustainable, and the Technician can stay in touch with the nuts and bolts of the work being done.

KEY QUOTES

“Every Adolescent business reaches a point where it pushes beyond its owner's Comfort Zone – the boundary within which he feels secure in his ability to control his environment, and outside of which he begins to lose control.”

“Luck and speed and brilliant technology have never been enough, because somebody is always luckier, faster, and technologically brighter.”

“A Mature company is started differently than all the rest. A Mature company is founded on a broader perspective, an entrepreneurial perspective, a more intelligent point of view. About building a business that works not because of you but without you.”

“I realized that for IBM to become a great company it would have to act like a great company long before it ever became one.” - Tom Watson, IBM founder

2. The Turn-Key Revolution



Similar to how the industry revolution, technological revolution and information revolution have transformed our lives, the Turn-Key Revolution can change how we view and run businesses, and hence transform our world.

At the heart of the concept is the "Business Format Franchise", where the franchisee is not only given the right to market a known product, but also an entire system for doing business. Unlike the high failure rates of conventional business, Business Format Franchises have a 95% success rate.

The end-goal is to create a business that works without the owner, and predictably delivers its promise to customers. For that to happen, all components of the business must be broken down in a way that can be created, assembled and replicated at low cost.

Business Evolution and Growth



This model starts with the "Franchise Prototype", where ideas are incubated, tested and perfected until they work predictably, before they are deployed in business.

Using the example of McDonalds, Gerber explains how every detail (from how long french fries are left in the warming bin to how pickles are placed) is tested and standardized, with the goal of leaving nothing to chance and operational discretion. Franchisees are required to complete a thorough training program before they are allowed to run the business.

This Business Format Franchise balances the contributions and needs of the Entrepreneur (who uses the Franchise Prototype to further his vision), the Manager (who enjoys the system's structure and predictability), and the Technician (who's free to do the work).

KEY QUOTES

"At the heart of the Turn-Key Revolution is a way of doing business that has the power to dramatically transform any small business – indeed, any business, no matter what its size – from a condition of chaos and disease to a condition of order, excitement and continued growth."

"The Business Format Franchise is built on the belief that the true product of a business is not what it sells but how it sells it. The true product of a business is the business itself."

"The Prototype acts as a buffer between hypothesis and action."

"(The Business Format Franchise) is a proprietary way of doing business that successfully and preferentially differentiates every extraordinary business from every one of its competitors. In this light, every great business in the world is a franchise."



Here is a key message from Gerber – **Your business is not your life, and it is imperative that you work on the business and not in it.** You should build your business such that you can duplicate it; Regardless of whether you actually sell or franchise it in the future, this is the best way to ensure your business is successful and is not dependent on you.

In order for your business to be successfully cloned into thousands more like it, it must fulfil 6 criteria or rules:



Provide consistent value to your stakeholders, beyond expectations. Value can come from many things, be it a kind word, an unexpected gift, or reasonable pricing. The key thing is that your stakeholders (i.e. your customers, employees, suppliers etc.) *perceive* it to be valuable.



Be operable by people with the lowest possible level of skill. Your model must be achievable with the lowest skill level for that function, i.e. you need to **establish systems that help ordinary people to deliver extraordinary results.** Obviously, suggestions and improvements should be encouraged; however, the business must first equip people with the tools and know-how to deliver the intended results. By building a business that can be operated by ordinary people:

- You will not be held hostage by experts or scarce talents, who are expensive and hard to motivate; and
- You will force yourself to innovate through systems and solutions



Demonstrate precision and order. In today's ever-changing and chaotic world, a place with order and structure will stand out, be appreciated by your customers and employees, and build trust.

KEY QUOTES

"Your business is not your life... Recognize that the purpose of your life is not to serve your business, but that the primary purpose of your business is to serve your life."

"Value is what people perceive it to be, and nothing more."

"Value is essential to your business and to the satisfaction you get from it as it grows."

"Great businesses are not built by extraordinary people but by ordinary people doing extraordinary things."

"When you intentionally build your business around the skills of ordinary people, you will be forced to ask the difficult questions about how to produce a result without the extraordinary ones"



Capture all the work to be done in **operations manuals**. Proper documentation provides clarity and structure for your people to perform their work productively. Your manuals should set out the purpose, steps and standards (measuring both processes and results) associated with the work.



Provide a **consistent and predictable service** to the customer. Each time a customer uses your product or service, an expectation is set, and he/she returns expecting to enjoy a similar experience. Consistency is critical to customer satisfaction.



Use **consistent codes** (e.g. colour, dress, facilities). Colours and shapes affect consumers' decision-making and buying behaviours. Choose the right colours, logos etc. and apply them consistently across your business.

No one starts a business with all the answers. The key is to know what you don't know, so you can address them. Learn to separate the business from yourself – **look at your entire business as the product**, and keep asking yourself how you can achieve the following:

- Get your business to work without you
- Get your people to work without your constant interference
- Systematize your business, so it can be replicated consistently 5,000 times
- Own your business and still be free from it
- Spend your time on work you love to do, not work you must do

3. Building a Small Business that Works



The Business Development Process



Your Prototype will constant evolve as part of your business development process. It **comprises 3 inter-related components**:

KEY QUOTES

"What you do in your model is not nearly as important as doing what you do the same way, each and every time."

*"Creativity thinks up new things. Innovation does new things."
- Professor Levitt*



Innovation. Innovation is different from creativity – it's about getting things done (not just thinking about it). When you wear the franchisor's hat, you focus beyond the products you sell, to how your entire business operates. **Innovation is about finding the best way to engage your customers and meet their needs**, from how you greet them when they enter your store, to what you wear. It's about meeting their perceived needs and sub-conscious expectations.



Quantification. To know if an innovation is effective, you must quantify it. **Gerber recommends that you start by quantifying everything in your business**, from how many customers you see daily (and when you see them), to how many items are sold at each time of the day. Progressively, you'll learn which are the more important numbers to focus on, and how to "read" them.



Orchestration. With innovations and quantification, you'll start discovering what works. The next step is to **orchestrate it such that the best existing practices are duplicated predictably, every time**. The combination of all your best practices, delivered predictably, becomes your unique business system that makes you stand out from others.

The innovate-quantify-orchestrate process is a never-ending part of business development, which helps you to grow and evolve as an extra-ordinary business. This can and should be more than just a routine habit – **the process of continuous improvement and mastery involves a deep connection with the work being done, and purpose with which it serves, bringing a deeper level of fulfilment.**

Your business development program



Your business should support your life goals, not be your life goals. Hence, the main task is to structure your business as if it was the prototype for 5,000 more like it, so you can

KEY QUOTES

"Where the business is the product, how the business interacts with the customer is more important than what it sells."

"Innovation...is the mechanism through which your business identifies itself in the mind of your customer and establishes its individuality."

"Without the number you can't possibly know where you are, let alone where you're going."

"Orchestration is the elimination of discretion, or choice, at the operating level of your business."

"The work itself becomes something other than a habit; it becomes an exploration into who we are and how we express ourselves in relationship to something much larger."

"Your Primary Aim is the vision necessary to bring your business to life and your life to your business."

work on your business and not in it. This involves a 7-step process, starting with you as the owner:



1 - Your Primary Aim. When you have been laid to rest, what should the story of your life sound like? This is your primary aim, and it will be your source of energy, purpose and direction. When you have clarity on how you want your life to look like, how you wish to live on a day-to-day basis, and who you want to be, then you can decide how to structure your business to support this Primary Aim.



2 - Your Strategic Objective. This statement lays out exactly how your business will help you to achieve your Primary Aim, and what your business will look like when it's "done". It should be presented in simple and clearly stated standards including:

- Money (gross revenues, gross profits, after-tax profits etc.), taking into account how much you need in order to be free from your work/ business. An opportunity is only worth pursuing if it can fulfil the financial standards for your primary aim and strategic objective. This in turn requires that your business solves a problem faced by a large enough number of consumers. To assess your business potential, consider:
 - *What business you are in?* Your business is not about your product, but what you make your customer feel. People buy the feelings they get from your business, not your commodity.
 - *Who is your customer?* Demographics (age, sex, income, education etc.) tell you who your customers are, while Psychographics tells you why they buy. To know if your business is worth pursuing, you need to know the size of your targeted demographic and how well you can satisfy their emotional or perceived needs.

- Other Indicators. Consider these 4 questions:

KEY QUOTES

"Great people have a vision of their lives that they practice emulating each and every day... Great people create their lives actively, while everyone else is created by their lives."

"Your Strategic Objective is a very clear statement of what your business has to ultimately do for you to achieve your Primary Aim."

"Your business is a means rather than an end, a vehicle to enrich your life rather than one that drains the life you have."

"You invented a turn-key solution to your specific kind of business's problems. A little money machine. An absolutely predictable little business that does what it promises to do every single time."

"The product is what your customer feels as he walks out of your business... The truth is, nobody's interested in the commodity. People buy feelings."

- When will your prototype be ready?
- Where will you be in business?
- How will you be in business (retail/ wholesale)?
- What standards will you insist on reporting?



3 - Your Organizational Strategy. Most small businesses organize their companies around personalities rather than functions and expertise. To set up your business correctly, **you must separate yourself from the roles you play in the business.** That's the only way to ensure the roles are independent of you. It also forces you to crystalize and demonstrate the rules of the game, so your employees can learn how to deliver the business the way you want them to.

- **Map out your full organizational structure, and create a "Position Contract" for each position** that summarizes the rules of the game or accountability for that role. For each position that you take up, sign the contract as you were you the employee.
- Now that you know what needs to be done, you can decide the best way to **allocate the responsibilities amongst existing human resources** (e.g. existing shareholders or co-owners).
- As you do the work, **you concurrently work in the position and on the position.** As the Technician, you document the technical work as you do it. As the Manager, you identify strategic aspects of the work to be addressed in the Franchise Prototype. As the Entrepreneur, you test different ways of operating each role, quantifying the impact of new innovations and documenting best practices in an operating manual.
- **When you start hiring staff to handle these positions, you can now explain the aims, organization structure and train them** using the operations manual (refining it along the way)

KEY QUOTES

"Unless I act as I expect my employees to act, unless I work in my business exactly as I wish them to, I will never be able to create a system for doing it exactly the way I expect them to do it."



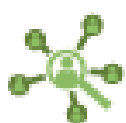
4 - Your Management Strategy. The key to success is not to find amazing talents with sophisticated techniques – they will be too scarce and costly for your business, and may not be willing to do things your way. Instead, **build a management system that develops your people predictably.** Every element in your business needs to be captured in an operations manual, and orchestrated such that the same experience can be replicated by *anyone*.

This is a *marketing* tool, and not a management tool – **by producing predictable results, your customers know what to expect, and trust you to deliver the same experience when they return.**



5 - Your People Strategy. Even with the perfect operations manual, how do you get people to do what you want? **The crux is to create an environment where “doing it” is a way of life,** i.e. the idea or spirit behind the work is more important than the work itself.

- **You must first define the core of your business, then figure out how to communicate it.** For example, if your core is “caring”, then you need to translate what it means to show care for your employees, to show care in your customer greeting or your service delivery.
- **The implementation process starts at with your recruitment – you must communicate your Primary Aim, Strategic Objective and Organizational Strategy upfront, to ensure you're recruiting people who buy in to the idea and want to play your game.**



6 - Your Marketing Strategy. This is where you put aside your own vision and objectives, and **focus solely on what the customer wants.** Your customers take in all kinds of cues about your business (from what they see, hear, and feel) and process them unconsciously before making an often irrational, emotional decision.

KEY QUOTES

“(A Management System) is a System designed into your Prototype to produce a marketing result.”

“The system knows what I like and makes certain that I get it, in exactly the same way, at exactly the same time...Somebody had heard me. And they heard me every single time.”

“The work we do is a reflection of who we are...How we do our work becomes a mirror of how we are inside.”

“The degree to which people ‘do what you want’ is the degree to which they buy into your game. And the degree to which they buy into your game (depends) on how well you communicate the game to them – at the outset of your relationship, not after it's begun.”

“(A business) can create a Game Worth Playing. It can become that place of community. It can become that place where words such as integrity, intention,

The best way to sell to your customer is to understand his perceived needs (which determine his decisions, rather than his "real" needs). By knowing his demographics (who he is in terms of age, profession etc.), you can identify his psychographics (why he buys), and then construct and scientifically test a Prototype that meets these needs.



7 - Your Systems Strategy. Systems, in the context of this book, refer to a cluster of "things, actions, ideas and information" that interact with one another, and in the process, change other systems. In business, we have 3 types of systems:



Hard systems (e.g. computers, furniture, colours), which reflect visually how well your business is integrated;



Soft systems (e.g. people, ideas, scripts), that reflects how well you communicate the soul of your business; and



Information systems (e.g. sales reports, inventory control), that reflect your ability to extract information about your business

How well you integrate the 3 systems will determine how successful your Prototype is, in communicating and delivering the promise that your customer wants to hear.

Other Details in the Book to Look out For



Gerber brings his ideas to life in different ways throughout the book:

- He shares the learning points through the eyes of Sarah, a lady who loved baking pies, but found herself drained and burned out after starting a pie

KEY QUOTES

commitment, vision and excellence can be used as action steps in the process of producing a worthwhile result."

"When it comes to marketing, what you want is unimportant. It's what your customer wants that matters. And what your customer wants is probably significantly different from what you think he wants."

"The challenge of our age is to learn our customer's language. And then to speak that language clearly and well so that your voice can be heard above the din."

"(All your business functions) share one common purpose—to make a promise their customer wants to hear, and to deliver on that promise better than anyone else on the block...The COO is the driver of all this. The COO connects each part of the business process."

business. We follow Sarah's thought process and internal struggles, eventually sharing her "aha" moments and seeing how she applies the concepts to create her personal and business breakthroughs;

- He provides detailed examples and case studies of how companies like McDonalds and Venetia (a boutique hotel) successfully developed their Prototype.
- As he outlines the 7-step business development program, he also provides additional tools e.g. questions to think about your primary aim, sample "people game" rules, and examples of hard, soft and information systems at work at E-Myth Worldwide. The E-Myth Mastery Program covers these 7 steps in detail.

This is a must-read book for anyone who owns a small business, or plans to start one. For more details, please visit emyth.com.

About the Author



Michael E. Gerber (born 1936) is an American author and founder of Michael E. Gerber Companies, a business skills training company based in California. He was named "the World's #1 Small Business Guru" by Inc. Magazine, for impacting hundreds of thousands of companies worldwide for over 40 years.

Besides "The E-Myth Revisited", Gerber has authored 13 other business coaching books. Today, he is on a new mission to bring economic development strengths and capabilities to millions of people worldwide, by awakening the new entrepreneur within them. This is done through his entrepreneurial incubator called The Dreaming Room®, with more details at michaielegerbercompanies.com

KEY QUOTES

"This book is not simply a prescription for success; it's a call to arms...It's a call to learning."

"If the world is going to be changed, we must first change our lives...Your small business can become that bridge...that can draw together the world 'out there' and the world 'in here' in such a way as to make both more human.... more productive. In such a way that makes both worlds work."